

The Island, the Net, and the Question of Fairness

An English speech adapted from a Chinese podcast on 《小岛经济学》 (Island Economics), published in English as *How an Economy Grows and Why It Crashes* by Peter and Andrew Schiff.

The section headings below are for the speaker's orientation only. They are not meant to be read aloud. Passages in [square brackets] are English additions that are not in the Chinese original. See the translation notes (notes.pdf).

I. OPENING

Good evening, everyone.

Today I want to talk about a book that has taken the Chinese internet by storm. In China it is known as *Island Economics*. **[In English it was published as *How an Economy Grows and Why It Crashes*, by the brothers Peter and Andrew Schiff.]** Its promise is simple: grasp the ideas in this little book, and you have taken your first real step into economics.

But before we begin, let me ask you a question. Do you ever feel that, wherever you turn, you are being squeezed by capitalists?

Hold on to your answer. I will ask you again at the end.

II. THREE MEN, ONE FISH

This book does not teach through graphs and formulas. It teaches through a story, and that story carries the basics of economics, and even the workings of a nation, from beginning to end.

Once upon a time, on a small island, there lived three men. Let us call them A, B, and C. **[In the English original, they are Able, Baker, and Charlie.]** The island offered only one way to survive: fishing. They had nothing else. No tools. Not even clothes. With their bare hands, each man could catch exactly one fish a day, and one fish a day was exactly what a man needed to live.

No more. No less. They were not living. They were merely surviving.

Then one night, A lay on the sand, gazing up at the stars, and a thought took hold of him.

"Every day I eat. I sleep. I wake up. I catch a fish. Is this really all there is? I want more. I want to weave clothes from these palm leaves."

But he knew the price. Every hour spent weaving was an hour not spent fishing. No fish meant hunger, and on this island, hunger meant death.

Was there a way out? He found only one: to build something that would catch fish *for* him. A net.

But here was the catch. While he built the net, he could not fish. If it took him two or three days, he might not live to see it finished.

And yet, for his dream, for that spark of desire, he decided to take the gamble. He spent an entire day weaving a net. The next morning he cast it into the sea, and he pulled out not one fish, but two. Even three.

III. THE ENTREPRENEUR, CAPITAL, AND SAVINGS

From this single moment, a whole series of economic ideas is born.

First, A is what we call an **entrepreneur**. And an entrepreneur does two things: he *under-consumes*, and he *dares to take risks*.

What does it mean to under-consume? A could have caught his fish that day and satisfied his hunger at once. Instead, he chose to delay gratification. He held back his own consumption, knowing that if the net failed, he would go hungry, and might even die. Through his wits, through his sacrifice, and through his courage, he made the net. And in that moment, he became a **capitalist**.

So what is the net? The net is **capital**. And what is capital? Capital is something that makes money for you while you sleep. Leave the net in the water overnight, and while you dream, it may be filling with fish. Could you rent it out? Of course you could.

And the fish? The fish is **money**. Each man needs one fish a day. A now catches two or three. So what happens? He has fish left over. And what are leftover fish? **Savings**. That is savings in its purest economic sense: the money you do not spend.

IV. FROM ENVY TO CREDIT

Naturally, B and C looked on with admiration, and more than a little envy.

"Well, well, look at you! Quite the little inventor. A regular Edison! How about making a couple of those nets for us?"

If you were A, would you? Of course not. When I was weaving that net, you mocked me. As the Chinese saying goes: *"Yesterday you ignored me; today you can't reach me."* [**Roughly: "You wouldn't give me the time of day back then; now I'm out of your league."**]

And A replies: *"If I can make a net, so can you."* Doesn't that sound like every entrepreneur you have ever heard? *"What I can do, you can do too."*

But B and C protest. *"It's not the same. Maybe you're just good with your hands. What if we build one and it doesn't work? Nobody had ever made a net before you. And while we're building it, we really could starve. Two days without a fish, and on the third day we're dead. So could you lend us some fish? Two or three, just enough to keep us alive while we build our own nets?"*

As A, would you lend it? Still no. There is nothing in it for you. There is only risk.

Risk number one: their net may not work.

Risk number two: they may take your fish, eat them, and never go fishing at all.

Risk number three: they may build the net, catch plenty, and never pay you back.

Too many risks.

So B and C make an offer. *"All right. If our nets work, we'll catch two fish a day. Lend us one fish, and we'll give you back two. Lend us two, and we'll give you back four. Fair?"*

Now *that* sounds reasonable. After all, why should A lend for nothing? And A says: *"Deal."*

And just like that, **credit** is born.

V. FOUR CHOICES

Look at what A now has: choices. Four of them.

First, he can **save**. He catches two fish, eats one, and hangs the other up to dry. Dried fish for a rainy day.

Second, he can **consume**. He can spend what he has earned. One day he doesn't fish at all. Why? Because he wants to lie in the sun, stroll along the beach, and enjoy the view. He can afford to rest because he has savings.

Third, he can **rent**. He lends out his net and collects a fee. And so, leasing is born.

Fourth, he can **invest**. *"I'll put my fish into your venture, and you'll give me a return: twenty percent, thirty percent, a hundred percent, whatever we agree on."*

Notice: none of this was imposed from above. Every one of these arrangements arose on its own, naturally.

VI. PRODUCTIVITY: THE ONLY REAL ENGINE

And this brings us to the central idea. What drives economic growth? **Rising productivity.**

Suppose you are A, the capitalist. As long as you raise productivity, even if you are the most selfish person alive, the three people on this island gain everything and lose nothing. Why?

Think about it. I had four choices, and I chose to invest in you, because it is good for me *and* it is good for you. You no longer face starvation. And I? I carry the risk. What if you fail? What if the worst happens, you never build your net, and you can never repay me? So tell me: is this not fair to everyone?

Picture A as the most self-interested man on earth, if you like. The fact remains: he invented the net, he became an entrepreneur, he raised productivity, and every single person on the island is better off, because every single person now has *more choices*.

Let us look at the real world. Before the First Industrial Revolution, income per person was much the same everywhere and in every era. Whether you lived under Emperor Wen or Emperor Wu of the Han dynasty, or in the age of the Three Kingdoms, some times were better and some were worse, but never by much. Then came the Industrial Revolution, and with it, roughly a tenfold rise in income per person. Only then did ordinary people finally have enough to eat. Before that, humanity lived on the edge of survival: one fish per person, per day.

So there is only one thing that truly makes an economy prosper, and that is higher productivity.

And without it? Consider the rise and fall of China's dynasties. You may call one emperor wise and another a disaster. But wise or foolish, every one of them was merely rearranging the same three fish. If the island can produce at most three fish a day, no ruler can change that. Only higher productivity, *ten* fish instead of three, can transform the island's economy at its core.

VII. WHAT CREDIT REALLY IS

Next, we must understand the true nature of credit. Credit is not created out of thin air. It is the **transfer of real savings**. The capitalist's money is not some abstract power. It is his own savings, handed over to you.

When you take out a loan, you pay interest. And you may feel that this is exploitation: "*I borrowed two fish, and now I owe you four? Are you taking me for a ride?*"

But no. Interest is compensation for two things: for **giving up the right to consume today**, and for **bearing the risk that you will not pay it back**.

Remember: A had four choices. He could have consumed his fish, but he did not. He gave them to you. And while you were building your net, you might never have caught a thing. We are not the same, you and I, and yet I chose to trust you. I carried the risk of that trust. Is it not fair that you compensate me for it? Is that not just?

This is why the book so firmly rejects the idea that capitalists extract "surplus value" from others. **[That is the famous charge of Karl Marx.]** On this point, the book leaves no room for doubt.

VIII. SO WHAT IS EXPLOITATION?

Why, in the author's view, is there no such thing as capitalists squeezing out surplus value?

First, the credit agreement was mutual. *You* came to *me*. I did not come to you.

Second, if I had never invented the net, then no matter what anyone said, nobody would have had any choice at all. One man, one fish, one day, forever. It was precisely because I invented the net, and because I was willing to lend you my fish so you could start your own venture, build your own net, and improve your own life, that you had any choice at all. You cannot be given a choice and then call it exploitation.

You borrowed my fish. With them, you are free to build your own net, and even to invent a bigger and better fishing machine than mine. It is a fair exchange. All I ask for is what we agreed in advance.

Then what is exploitation?

Imagine the three of us again. No one raises productivity. But I happen to be the strongest. So I enslave you. I demand protection money: *"Two fish a month, or I'll beat you."* That is not a fair trade. I simply overpower you and take your fish.

That is exploitation. That, and nothing else. Everything else is a fair contract.

IX. SPECIALIZATION AND TRADE

So B and C get their fish, build their own nets, and soon everyone is catching two or three fish a day. What do we call that? **The spread of technology.** And with it, everyone is fed and clothed.

Now B says: *"I have enough to eat. Time to pursue my own dream."* And he begins to build houses. Beautiful houses.

C sees this and says: *"If he can build houses, I'll follow a passion of my own."* He builds boats and surfboards, and discovers the joys of the sea.

From then on, if I want a house, I go to B, because he is the best builder. If I want a surfboard, I go to C. And we pay each other in fish.

These three are the ancestors of the island. The population grows, and so do the goods. More houses. More boats. More surfboards. More nets.

X. THE BIRTH OF MONEY

And then a problem arises. We are trading goods for goods. That is barter. So how many fish for a net? How many nets for a house? Perhaps sixty nets for one house. But houses are not all the same. Some are larger, some smaller; some sit in better locations, some in worse. Trading becomes a headache.

Worse still, suppose you are the builder, and I show up with sixty fish. *"Here are sixty fish. Give me your house."* What is your first thought?

"Sixty fish? I can't eat all that. I'll have to store them. I'll need space. And what if they rot before I finish them? I work hard all day building houses. I like my fish fresh!"

So someone says: *"Enough. Carrying piles of fish and stacks of nets everywhere is far too much trouble. Let me invent something: a fish note. A piece of paper with a fish drawn on it, standing for one fish."* [In the English original, these are called **Fish Reserve Notes**, a playful nod to the **Federal Reserve Note: the dollar in your wallet.**]

Why can this note always be exchanged for a real fish? Because it is backed by fish. It is a *fish standard*, just like the gold standard. Everyone agrees: one note, one fish. And so **money** is born.

What does money give us? No more bartering goods for goods. It saves effort, it saves space, and it saves the cost of transport. No more hauling sixty fish across the island. And it allows for a finer division of labor and a more diverse economy.

Take the builder. Before, even while building houses, he still had to go fishing now and then, because what if nobody wanted to trade fish for his work? But now that everyone accepts the fish note, he can buy fresh fish whenever he likes. So he can go *all in* on building. And he is far better at building than at fishing. If he fishes, he might catch nothing in three days. But in a single day of building, he does the work of two ordinary men.

You do what you do best. I do what I do best. And between us, we share a common token of trust: the fish note. Money. Each note represents a real amount of wealth, a real number of fish. In the real world, this was the earliest form of the gold standard.

XI. THE BIRTH OF GOVERNMENT

But prosperity brings new problems. Some people are simply lazy. They do not want to work. So what do they do? They steal. And you have no idea who did it. I accuse you; you deny it; tempers flare, and nobody backs down.

So the islanders hold a vote and form a small protection squad of twelve, whose job is to guard everyone's property. The fish I earned with my own sweat, the nets I made, the house I built: no one may take them from me. This squad of twelve is what we call **government**.

And what does this government do? Three things.

First, it protects **people's lives**. You cannot kill me in the middle of a trade and take my money.

Second, it protects **people's property**. You cannot steal from me.

Third, it enforces **fair contracts**. If I give you twenty nets for a house, you cannot keep the nets and withhold the house.

This closely resembles an ancient Chinese philosophy of government: the **Huang-Lao** school. The Taoist teaching of Laozi split into two branches, Huang-Lao and Lao-Zhuang. Huang-Lao was the art of governing a state, and its guiding principle was **wu wei**. [The term is often translated as "**non-action**," but in politics it is better understood as *minimal intervention*.] A government should do only two or three things: protect life, protect property, and uphold fair contracts.

Liu Bang, the founder of the Han dynasty, is the classic example. When he reached the Qin capital, Xianyang, ahead of his great rival Xiang Yu, he made his famous **Three-Article Pact** with the people: whoever kills shall die; whoever harms others shall be punished; and the people's property belongs to the people.

Is that not precisely the role of government in *Island Economics*? And that is why he won the empire. That was Liu Bang's genius. He never studied economics, yet his instincts told him: these three things, and only these, are what ordinary people care about most.

XII. THE TEMPTATION TO PRINT

Now the government exists. But put yourself in the shoes of the twelve. You might start to grumble: *"We keep order for the whole island. Surely we deserve more? Sixty fish a month? Why not a hundred?"*

And at the next election, the islanders answer: *"What greed! You don't fish, you don't build, you only keep the peace, and sixty fish isn't enough? You want a hundred? Have you lost your mind? Vote them out!"*

"No, no! Sixty is plenty! We're perfectly content!"

"Well, all right. You've done a decent job. You can stay."

But then the twelve think: *"Hold on. Who prints the fish notes? We do. If they won't give us more fish, we'll simply print more notes."* The new notes land in their hands first. Some they spend into the market; the rest they keep. Where one note once stood for one fish, they now double the supply.

And what does printing more notes bring? **Inflation.** Before, one note bought one fish. Now it takes one and a half. That is inflation.

And the printers profit handsomely. Suppose a house costs one hundred notes. The twelve print their new notes and buy a house right away, at the old price. Slowly, the islanders notice that a hundred notes no longer buys a house. Now it takes a hundred and fifty. By then, the squad has already bought at one hundred, and when the price reaches one hundred and fifty, they sell, pocketing fifty notes of pure profit. **[Economists call this the *Cantillon effect*: those closest to newly created money benefit first, before prices rise for everyone else.]**

And so inflation is born.

The islanders cry foul. *"You twelve are supposed to protect us. What are you doing? Is this your doing?"*

"Not us," they swear, hand on the Bible. *"We haven't printed a single extra note. Well, perhaps a few, but only to stimulate spending. Times have been hard. With a little more money in your pockets, you'll be happier to spend."*

This idea of stimulating consumption comes from **John Maynard Keynes**. But in the author's view, you cannot stimulate your way to prosperity. The author belongs to the **Austrian School** of economics, a school that stands opposed to Keynes, and to much of mainstream economic thinking, including that of our own country.

So the islanders say: *"We need someone to watch over you. Someone to uphold justice and judge whether what you are doing is right."* They elect a chief justice, and the chief justice rules: *"No more printing."*

"Then what about us?" say the twelve. And so they have him removed. They have him assassinated, and they find a replacement. The new judge declares: *"Printing? Perfectly legal. It stimulates consumption."*

"Now you," say the twelve, *"you understand."* And he stays.

Does this remind you of a certain country? Perhaps the United States?

XIII. THE SERVICE-ECONOMY ILLUSION

But they printed too much. A bubble formed, and the islanders began to complain. And the government said: *"Don't worry. We have a plan. We twelve think day and night about how to make your lives better. Here's an idea: everyone should work in services. Serve one another, and look, the economy is booming!"*

In the author's view, this is a sham. Yes, if we all serve each other, we all spend money. But let me ask you: Did the island produce any more? No. Did its capacity grow? No. Did any new goods appear? No.

So if you want to revive an economy, there is only one honest way: **raise real output**.

"Serving each other" is like this: the island still has the same three fish. You caught a tuna; I caught some other fish; we swap. I eat some of yours, you eat some of mine. But the economy has not grown by a single fish.

To be frank: if the AI revolution had not taken off in America, I believe the United States would be in serious danger. Without new productive capacity, all that would be left is to export war. With AI, things look somewhat better.

XIV. CONCLUSION

These are the central ideas of *Island Economics*. If they interest you, read the book itself. It is a genuine introduction to economics, and only once you understand these ideas do you grasp the basic premises of the field.

But know this, too: there are many different views of how an economy works. Today we have examined only one of them, the Austrian School. And to me, this school bears a striking resemblance to China's own Huang-Lao philosophy: do not interfere, or interfere as little as possible. Do not print money recklessly. Hold on to what is essential.

So now, let me return to the question I asked at the beginning.

Do you feel that, wherever you turn, you are being squeezed by capitalists?

In the view of this school, the answer is no. What you have is a fair contract. And without it, you might never have had the choice at all.

Take credit cards. I myself don't use one, except when I travel abroad. Credit cards really can throw your life into chaos. They tempt you to spend money you don't yet have, and you pay interest on top. But without credit cards, many things would be even harder.

So it is not the credit card that throws your life into chaos. It is *your inability to manage it*. The card simply gives you a choice, and it is a choice you agreed to freely, under a fair contract, on the day you signed for it.

Of course, this is only one book's perspective. I hope you will keep learning about economics, so that you can see the world more clearly and think about it more calmly.

I wish you all a better life, day after day.

Thank you.